

and brokerage cost of 100 bps for every trade done over a ten-year period, this portfolio would generate CAGR returns of 13.3 per cent. Left untouched, however, the same portfolio would have generated CAGR returns of 14.5 per cent. This implies that around 9 per cent of the final corpus (around US\$35 million in value terms) is lost to churn over the ten-year period. Thus, a US\$ 100 million portfolio that would have grown to US\$382 million over the ten-year period (30 June 2006–30 June 2016) in effect grows to US\$347 million due to high churn. The shortfall in the return is obviously the returns that the broking community earns for helping the investor churn his portfolio.

What about valuations? Isn't buying and selling at the right price the greatest skill in investment?

Given the way price multiples have expanded for high-quality companies over the last decade, should investors be concerned about the sustainability of stock returns from such companies if they buy at current levels? Our answer is a resounding NO. As we show in [Appendix 5](#) of this book, whether we look at the last three, five or ten years, whether we look at bull market phases of the Indian stock market or bear market phases, all the evidence points in one direction—starting-period valuations have very little impact on long-medium run investment returns in India.

The lack of correlation between starting-period valuations and long-term holding period returns seems to be specific to India. Eugene Fama and Kenneth French, Nobel Prize winning economists and professors at the University of Chicago's Booth School of Business, defined a term 'value premium' in 1992 as the outperformance of value stocks over growth stocks¹⁶ when measured using risk-adjusted returns. By this definition, a low P/E multiple stock achieves a higher risk-adjusted return compared to a high P/E multiple stock.

However, our analysis above suggests that in the Indian stock market, a low P/E multiple-based investing approach does NOT improve the return profile of an investor.¹⁷ Given this analysis of value investing, it's clear that